

ONIT pitch deck

I tried to close the live-price gap both benches flagged — `search_contracts` permission was denied to this pass too, so the deck is marked to the evidence pack's \$34.505 and says so.

PITCH — ONIT — VERDICT

PROPOSED — PENDING ADJUDICATION — No position. Both benches independently reached “do not buy,” and the deck agrees, but they killed it for *different* reasons and one of them was wrong on the numbers; the name is kept alive with pre-registered reopen conditions at the Q3 report (~2026-11-05).

What we believe

Onity Group is a mortgage servicer — it collects payments on other people's home loans for a fee. The thing that makes it interesting is that the stock trades at roughly **half of the company's stated book value**: \$34.505 a share against \$72.55 of book value per share at June 30, 2026 (equity \$609.9M ÷ 8,406,047 shares), which is about **0.48x book** and a total market value of roughly **\$290M**.

The original idea was: the stock fell 36% from its 52-week high while the book value it is priced against was *growing*, so the damage was in the share price and not in the business. That would be a dislocation worth buying.

We no longer believe that. Working through the company's own quarterly report, the honest version of what we believe is narrower and less attractive:

1. **The book value did not grow during the fall.** It shrank slightly. Book value per share went from \$73.68 at year-end 2025 to \$72.55 at June 30, 2026 — down 1.5%. The “+22%” that the company markets is a year-over-year figure that was earned in the second half of 2025, *before* the stock's decline. The entire 36% drawdown happened in 2026, and in that window book value went down, not up.
2. **The damage is real, disclosed, and getting worse.** The company recognized **\$139.5M of writedowns on its servicing rights in the first half of 2026**, versus \$66.2M in the same half of 2025 — the loss roughly doubled. That single line more than explains the swing from a \$43.6M profit to a \$4.2M loss. This is not a hidden problem; it is a printed and accelerating one.
3. **Almost the entire company is one model-estimated asset.** Mortgage servicing rights are carried at **\$3,208.8M — about 5.3 times the company's total equity of \$609.9M**. There is no market price for them; the value comes from the company's own assumptions about interest rates, how fast borrowers prepay, and how many of them go delinquent. The company's own disclosure says a **10% adverse move in just the discount rate wipes out \$118.5M — 19% of all shareholder equity** ([10-Q, sensitivity table](#)).

So the belief we can defend is: *this is a cheap-looking company whose cheapness is a fair payment for a book value that one modeling assumption can move by a fifth, and whose earnings are currently going the wrong way.* That is a reason to watch it, not to own it today.

What the market believes

The market believes the discount is deserved and permanent-ish. Three things support that reading:

- **The price is sitting on its low.** The stock is 36.2% below its 52-week high of \$54.10 and only **4.5% above its 52-week low of \$33.00**. This is not a stock that fell hard and then stabilized — it is a stock still at the bottom of its range with no reversal yet.
- **Both legs down were reactions to the company's own earnings reports.** In our experience, when a stock falls on its own results, the results *are* the news — there is no misunderstanding to arbitrage. We have graded this exact setup seven times and gotten it wrong all seven.
- **The number everyone is arguing about is management's own adjusted-return target,** which has been cut twice (from 13–15%, to 10–15%, to the low end of that) while the actual accounting return on equity is negative. Both the bull case and the market's skepticism rest on the same adjustments. We are not seeing something different from the market here — we are looking at the same disclosure and drawing a similar conclusion.
- Servicers like this one have traded below book for most of a decade. A sub-book multiple is the base case for the industry, not an anomaly.

Why we might have edge

Three genuine pieces of work, all sourced from the company's own filings rather than commentary:

1. **We took the marketing apart against the filing.** The press release leads with “book value per share up 22% year over year.” The quarterly report shows book value per share **down 1.5% sequentially**. The company chose a comparison window that flatters; that choice is itself information, and we caught it. Neither number is a lie, but only one of them describes the period during which the stock fell.
2. **We reconciled where the servicing-rights value came from.** The carrying value of servicing rights rose \$383.5M in six months, which looks at first like the company marked its main asset up. It didn't — it wrote it **down** by \$139.5M and the carrying value still rose because the company originated a record \$15.5B of new loans and kept the servicing, adding roughly \$523M of new assets ([income statement](#)). Getting this right requires reading the income statement next to the balance sheet. Our own bear analyst got it backwards, and so would most quick screens.
3. **We sized the fragility instead of describing it.** Using the company's published sensitivity brackets, we can say precisely what a bad assumption is worth: 19% of equity for the discount rate,

14% for a 10% prepayment shock, 27% for a 20% prepayment shock. That converts a vague “it’s a Level 3 book” worry into a number we can size a position against.

The honest limit on all three: this is edge on *understanding*, not obviously edge on *price*. We now know why the stock is cheap. Knowing why does not make it a buy.

Why it might be priced in

Nearly all of it, probably.

- Everything above comes from a public quarterly report filed 2026-08-06. It is three weeks old and available to everyone. Nothing we found required a non-public source.
- The stock is at its low, which is what a market that has already read this report would produce.
- We could **not** reach any analyst estimate feed this session, so we cannot state what the published expectations actually are. That is a real hole: without it, “we diverge from the street” is an assertion, not a finding. Our bear analyst rested part of its rejection on this and then admitted it could not check it — a method error we are flagging rather than burying.
- The buyback that was cited as a management conviction signal is **115,589 shares, about \$4.6M, 0.75% of equity**. Both analysts agree that is too small to signal anything.
- The one insider transaction on file (2026-08-25) is an accounting officer having 1,844 restricted share units **settled for cash** at \$36.03, with no shares purchased ([Form 4](#)). No insider is buying with their own money.

What could go wrong

(This is the pre-mortem. It assumes we buy at a reopen band and then lose money.)

Failure 1 — The discount is correct and never closes. (Monitorable.) We buy at half of book, and the market keeps paying half of book forever, because a servicer’s stated book is a model output that no one trusts. Meanwhile the servicing-rights writedowns keep running at \$70M a quarter and the book value we anchored to erodes 3–5% a year. We lose slowly and blame it on “the multiple.” *Tripwire*: quarterly servicing-rights valuation adjustment stays worse than –\$40M, and book value per share falls in two consecutive quarters. Both are visible on report day.

Failure 2 — The financing structure bites before the value shows up. (Partly monitorable.) Servicing rights are financed with borrowings secured by those same servicing rights: those facilities went from \$1,285.2M to \$1,566.1M in six months, and now equal 48.8% of the servicing-rights balance versus 45.5% at year end ([fair-value schedule](#)). Senior unsecured notes also rose \$203.6M. If rates move against the mark, the lenders can demand more collateral, and the company must sell servicing into a weak market to meet the call — turning a paper loss into a permanent one. Financing costs already consume 46.2% of revenue. *Tripwire limitation*: facility utilization is only disclosed quarterly. A collateral call happens between reports. We would learn about it after the fact, from an 8-K, or from the price.

Failure 3 — A servicing relationship or an agency approval goes away. (NO monitorable tripwire.) The company services roughly \$341B of unpaid loan balances, much of it for third parties, and its ability to do so at all depends on remaining an approved issuer/servicer with the government mortgage agencies. **The filings do not name the counterparties.** We attempted to verify the client roster against those clients' own filings and could not — there is no published list to check against. So if the single largest servicing client leaves, or an agency approval is conditioned, we have **no instrument that fires before the announcement.** There is no price gate, no filing pattern, and no external dataset that reaches it.

Unknown-unknown class: counterparty concentration that disclosure does not enumerate. We cannot build a sensor for a relationship whose existence is not disclosed. A related, smaller instance of the same class: the value of servicing rights depends on where the underlying homes are (hurricane, flood, and insurance-cost exposure), and the quarterly report **does not break the \$341B down by state.** We can see the company's own offices sit in West Palm Beach, Houston, and St. Croix — all high-hazard — but that is a business-continuity fact, not a valuation one. The valuation-relevant geography is simply not published.

The reflexive and structural leg — our own size, our own predicted flow, our own rules:

- **Our size versus daily volume is UNMEASURED.** The broker contract-lookup permission was refused to the bear analyst, the bull analyst, and this deck. We have no average daily volume figure, so we cannot certify our own rule that a ladder never exceeds 1% of a day's volume. With 8.4M shares outstanding and a ~\$290M market value, the tradable float is small enough that this is not a formality. **Measuring average daily volume is a hard precondition to the first order, not a nicety.**
- **Our own entry levels require the outcome we say is bad.** Every reopen band below is *under the 52-week low of \$33.00*. We only get filled if the stock breaks to new lows — which is exactly the “cause unresolved, no stabilization” scenario we are using as the reason not to buy today. We would be bidding into the continuation we ourselves predicted. Stated plainly: **our buy price is only reached by our bear case coming true.** If we ever find ourselves filled quickly and in size, that is evidence against us, not for us.
- **Rule interactions.** Our “a clean court with no named objection defaults to a small starter position” rule does *not* apply here — both benches named a specific, quantified objection, so flat is the correct default. Our “don't buy a stock that fell on its own earnings” rule points the same way. But a third rule cuts against us: if we later reopen on *price alone* without the fundamental numbers below improving, we would be buying purely because the multiple got lower — which is the precise mistake the bull analyst identified in the bear analyst's reasoning. **The price gates below are permission to re-examine, not permission to buy.**
- **Tax.** Any entry starts a short-term holding clock into a catalyst about ten weeks out. An exit on a good Q3 report would be taxed at short-term rates. Size and expected holding period must be set with that in mind before the first order, not after.

If this position loses money, the most likely reason will be that we bought a stock at half of a book value that is itself a model output, and the model kept revising downward — the servicing-rights writedowns continued at their current doubled pace, book value per share ground lower every quarter, the market never re-rated the multiple, and the discount we paid for turned out to be an accurate price for the fragility rather than a mistake.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Book value per share is up 22% while the stock fell 36%”	Balance sheet in the 10-Q vs SEC equity history	Book value per share \$73.68 → \$72.55, down 1.5% during the drawdown. The +22% is FY2024 → FY2025, before the fall.	No — the original framing was a period mismatch.
[BENCH ERROR — bear analyst] “Servicing rights were marked up \$383.5M using cut assumptions”	Income statement, R4	The mark was negative : −\$139.5M in H1’26 vs −\$66.2M in H1’25. Carrying value rose because ~\$523M of new servicing was added from record \$15.5B originations. The bear analyst read a balance-sheet change as a mark change and got the sign backwards .	No — our own bear case was wrong here.
[BENCH ERROR — bear analyst] “Servicing-rights facilities doubled, \$0.9B → \$1.9B”	R62	Actual: \$1,285.2M → \$1,566.1M, +21.9% — direction right, magnitude overstated about fivefold. The \$0.9B → \$1.925B numbers are a <i>different</i> row (securitization notes).	No — overstated ~5x.
[BENCH ERROR — bear analyst] “Return on equity is −8%”	Both periods	−8% is the <i>second quarter annualized</i> . The first half annualizes to about −2%. The worse of two available periods was selected.	No — period-selected.
[BENCH ERROR — bear analyst] “We don’t diverge from the street”	The bear analyst’s own labels	It marked analyst estimates unreachable , graded itself “plausible,” and then rested a rejection on it. A rejection cannot rest on a check that was not performed.	No — method error; retained as an open gap, not a finding.
“Discount rate was cut while delinquency rose — the model was plugged”	R64 , all panels	On agency loans, yes: discount rate 9.2%→8.5% and 10.6%→9.6%, delinquency 0.5%→2.0% and 5.6%→11.1%. But on the non-agency book the company raised its discount rate 10.4%→11.0% and cost-to-service \$173→\$184. A company plugging a number does not raise its own required return elsewhere. Also, higher delinquency mechanically means slower prepayment — delinquent borrowers can’t refinance — so that pairing is normal, not contradictory.	Partly — assumption moves confirmed, “plugged” not established.
“Total assets shrank \$16.17B → \$12.35B”	R62	Not shrinkage: reverse-mortgage securitizations were derecognized (\$9,611.7M → \$3,610.9M) and reappear	No — misread as deterioration.

Claim	How checked	Found	Confirmed?
		as securitization notes (\$899.3M → \$1,925.0M). A funding-structure change.	
“The company deleveraged, \$1.07B → \$0.70B of corporate debt”	R62	Senior notes went the other way : \$489.6M → \$693.2M, up \$203.6M . Neither the original claim nor its rebuttal is established without the full debt footnote.	Unresolved — neither bench closed this.
How fragile is book value, exactly?	R65 sensitivity table	A 10% adverse discount-rate move = – \$118.5M = 19.4% of equity = \$14.10/share . A 20% adverse prepayment move = –\$165.1M = 27.1% of equity.	Yes — this is the size instrument.
Is the buyback a conviction signal?	Share count, R2	115,589 shares, ~\$4.6M, 0.75% of equity, at a company with negative operating cash flow.	Yes — it is de minimis. Both analysts agree.
Are insiders buying? Any shares pledged?	Form 4, 2026-08-25	Accounting officer, 1,844 restricted units settled in cash at \$36.03, 4,303 shares held after, no pledge footnote . No open-market purchase.	Yes — clean, but no conviction signal either.
Is negative operating cash flow a distress signal?	Cash flow series	No — for a lender that originates loans to sell, loans held for sale are an operating outflow, so growing originations <i>worsen</i> operating cash flow by construction. Originations grew 64%.	No — the bear reading was wrong; this is structural.
[BENCH ERROR — bull analyst] First-half net result	Internal consistency of the bull brief	It states the swing as “+\$43.6M → – \$4.2M” and separately says “first half is –\$6.3M.” Two different first-half numbers in one document.	Unresolved — must be reconciled before any model.
[DATA CONFLICT] Quarterly revenue	Evidence pack XBRL vs bull brief	Pack’s most recent quarterly revenue reads \$246.6M; the bull analyst cites Q2 2026 revenue of \$282.9M. The pack’s XBRL date labels appear misaligned.	Unresolved — do not use either in a model yet.
Live market price	Broker lookup attempted by bear analyst, bull analyst, and this deck	Permission denied all three times. Deck is marked to the evidence pack’s \$34.505. Nearest independent primary anchor is the 2026-08-21 closing price of \$36.03 recorded on the Form 4.	No — every valuation figure here carries a stale-price caveat.
Is the November 5 report date real?	Filing inventory; no company announcement found	Derived from a data vendor. The company typically announces 7–9 days ahead, so silence today is consistent with a date ten weeks out — but it is not confirmed .	No.
Does the company have a hidden geographic risk in the loans it services?	10-Q, searched for a state-level breakdown	Not disclosed. Loan-collateral geography cannot be assessed from the filing.	Cannot be checked — permanent gap.
Can we verify who the servicing clients are?	Attempted to match the \$341B book against counterparties’ own filings	The quarterly report and press release do not name them. No roster to verify against.	Cannot be checked — this is Failure 3 above.

PROPOSED ENTRY BANDS

The courts say NO ENTRY. There is no order to place today and no immediate purchase proposed. What follows are the reopen conditions.

(All levels computed from the company's own published sensitivity brackets, and all subject to being restated once a live price is obtainable — the deck is marked to \$34.505.)

Reference book values, most to least generous:

Version	Book/share	Price at \$34.505
As reported, 6/30/26	\$72.55	0.48x
Less a 10% adverse discount-rate move (–\$118.5M, the company's own bracket)	\$58.46	0.59x
Less a full revert to December-2025 assumptions (bear analyst's ≥\$200M)	\$47.60	0.72x
Less both a 10% discount and a 20% prepayment shock (~–\$284M)	\$38.82	0.89x

The point of that ladder: **at today's price we are only “half of book” on the version of book that assumes nothing goes wrong.** On the stressed versions we are paying 0.6x–0.9x, which is an ordinary multiple for this industry, not a dislocation.

Reopen band 1 — PRICE, watch only: \$27.50. This is 0.47x the stress book of \$58.46 — i.e. the same discount the original idea wanted, but measured against a book that has already absorbed the company's own worst single-variable sensitivity. Reaching \$27.50 requires breaking the 52-week low of \$33.00. **Hitting this level triggers a re-court, not an order.**

Reopen band 2 — PRICE, deep value: \$22.40. 0.47x the bear analyst's fully-reverted book of \$47.60. At this price we are cheap even if the most pessimistic bench reading of the assumption table is right. **Still requires the fundamental conditions below to be met before any order.**

Reopen band 3 — FUNDAMENTAL, at the Q3 report. Both of these must clear: 1. Servicing-rights valuation adjustments compress to **better than –\$40M for the quarter** (versus –\$70.5M in Q2), showing the writedown pace is decelerating rather than compounding. 2. The assumption table holds or reverses: delinquency assumptions flat-to-down **with the discount rates unchanged** — i.e. the first-half discount-rate cut tracked a real market re-rating rather than offsetting the credit deterioration.

No-chase ceiling: \$39.90 (0.55x reported book). Even on a clean Q3, we do not pay above 0.55x book for an asset base that is 5.3x equity and model-estimated. Above that line the answer is no regardless of how good the quarter reads.

An external mark overrides everything. If the company (or a peer in the same weeks) executes a **bulk sale of servicing rights at or above the June 30 carrying multiple**, that is a third-party

price for the asset we cannot value, and it re-opens the case immediately at any price below the no-chase ceiling. This is the single most valuable thing that could happen to this thesis.

Sizing, if and only if a band and the fundamental conditions both clear: - Starter **0.50% of book**; absolute maximum **1.50% of book**; three tranches, never added to on strength. - Justification for the cap: one variable in the company's own table moves 19% of equity. The correct response to that kind of risk is a smaller position, not a lower price. - **Hard precondition before the first order:** obtain an average-daily-volume figure and confirm each tranche is under 1% of it. We do not have that number today. - Any exit before roughly Q4 2027 is short-term taxable; set expected holding period at entry.

Trims/exits, pre-registered now so they are not negotiated later: - **Exit in full** if the servicing-rights writedown exceeds -\$70M in any quarter *after* an entry, or if book value per share falls in two consecutive quarters. - **Exit in full** on any equity issuance below book value — issuing shares at 0.48x book converts a temporary discount into permanent dilution. - **Trim half** at 0.75x then-reported book; **exit the rest** at 0.95x.

Catalyst dates: - **~2026-10-27** — expected press release naming the Q3 date (company historically announces 7–9 days ahead). **UNCONFIRMED.** - **2026-11-05** — Q3 results. **UNCONFIRMED — vendor-derived, no company announcement exists.** - **Same day** — the quarterly report itself. Useful operational note: in Q2 the results release and the full quarterly report were **both filed 2026-08-06**, so the assumption and sensitivity tables land the same day as the headline. There is no lag to exploit and no excuse for reacting to the headline alone.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 22.4 (deck-provisional: reopen band 2: 0.47x the \$47.60 book implied by a full revert to December-2025 assumptions (bear bench)
- filing watch: 8-K until 2027-02-23 (deck-provisional: Q3 results release, plus any bulk servicing-rights sale, new/amended financing facility, or collateral)
- dated pack ONIT|2026-10-27: ONIT: expected press release naming the Q3 report date (company historically announces 7-9 days ahead) (date confirmed=False)
- dated pack ONIT|2026-11-05: ONIT: Q3 2026 results and quarterly report, expected same day as in Q2 — the assumption and sensitivity tables land with the headline (date

What remains unverified

- **The live market price.** Broker access was denied to all three passes. Everything here is marked to the evidence pack's \$34.505, with the Form 4's 2026-08-21 close of \$36.03 as the only independent anchor.
- **The Q3 report date.** Vendor-derived; no company announcement exists.

- **Published analyst expectations.** No estimate source was reachable. We therefore cannot state whether our view differs from the market's — a bull case built on “the street is wrong” has no evidence behind it right now.
 - **The corporate debt picture.** The original claim of \$1.07B → \$0.70B of deleveraging is contradicted by senior notes rising \$203.6M in the fair-value schedule. Requires the full debt footnote to resolve. Neither bench closed it.
 - **First-half net result** — the bull brief contains two different figures (−\$4.2M and −\$6.3M).
 - **Quarterly revenue** — the evidence pack and the bull brief disagree (\$246.6M vs \$282.9M); the pack's date labels look misaligned.
 - **Whether the first-half assumption changes were market-driven or company-driven.** Only an external delinquency/prepayment series settles this.
 - **Servicing-book geography.** Not disclosed by state; hazard and insurance-cost exposure on the underlying homes cannot be assessed.
 - **Servicing counterparties.** The \$341B client roster is not itemized anywhere public. This is the un-instrumentable risk named in the pre-mortem.
 - **Whether the increase in servicing-rights-secured borrowing is self-liquidating warehouse debt or long-dated collateral risk.** Direction is established (+21.9%); the character is not.
 - **How much of the \$383.5M carrying-value increase is new business versus assumption change.** The bull analyst's ~\$523M additions figure is an inference from two other numbers, not a disclosed rollforward line.
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